

**SUBSTITUTE FOR
SENATE BILL NO. 1135**

A bill to amend 1986 PA 182, entitled
"State police retirement act of 1986,"
(MCL 38.1601 to 38.1674) by adding sections 24c and 24f.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 24c. (1) Subject to subsection (5), the retirement system
2 shall grant service under this act for service rendered under the
3 state employees' retirement act, 1943 PA 240, MCL 38.1 to 38.69, to
4 a member described in section 4(1)(b) if the member pays to the
5 retirement system an amount equal to the actuarial value of the
6 service as determined by the retirement system's actuary.

7 (2) Service under the state employees' retirement act, 1943 PA
8 240, MCL 38.1 to 38.69, is not creditable toward retirement under
9 this act if the member is or will be receiving a retirement



1 allowance for the same service from another retirement system.

2 (3) A member described in subsection (1) is not required to do
3 either of the following:

4 (a) Purchase any service credit under this section for service
5 rendered under the state employees' retirement act, 1943 PA 240,
6 MCL 38.1 to 38.69.

7 (b) If the member does purchase service credit under this
8 section for service rendered under the state employees' retirement
9 act, 1943 PA 240, MCL 38.1 to 38.69, purchase all of the service
10 rendered under the state employees' retirement act, 1943 PA 240,
11 MCL 38.1 to 38.69.

12 (4) After October 15, 2027 at 5 p.m. Eastern Daylight Saving
13 Time, a member is not eligible to initiate service credit purchase
14 under this section. A member has 4 years after the date of
15 initiating service credit purchase under this section to complete
16 payment. If a member does not complete purchasing service credit
17 within 4 years after the date of initiating the purchase, the
18 member will not be granted service credit under this section. A
19 member may purchase service under this section in 1 or more of the
20 following manners:

21 (a) Tax-deferred payments, in a form and manner as determined
22 by the retirement system.

23 (b) Additional payments, in a form and manner as determined by
24 the retirement system.

25 (5) The retirement system shall establish a method to
26 implement the payments under subsection (4).

27 (6) For purposes of vesting under section 42b, a member is
28 granted service under this act for service rendered under the state
29 employees' retirement act, 1943 PA 240, MCL 38.1 to 38.69, if the



1 member purchased service under this section.

2 Sec. 24f. For members described in section 4(1)(b) and (c),
3 this act controls over a conflicting provision in a collective
4 bargaining agreement.

5 Enacting section 1. This amendatory act does not take effect
6 unless all of the following bills of the 103rd Legislature are
7 enacted into law:

8 (a) Senate Bill No. 1133.

9 (b) Senate Bill No. 1134.

